Acme Corporation - Quarterly Report Q1 FY2025

Quarter ended March 31, 2025. Prepared for the Board of Directors, dated April 24, 2025. All figures in United States dollars and unaudited.

Highlights

Total revenue for the first quarter of fiscal year 2025 was $128.9 million, an increase of 17.2% compared to $110.0 million in the first quarter of fiscal year 2024. Growth was led by Enterprise Cloud, which added 41 new enterprise customers in the quarter.

Revenue by Segment

- Enterprise Cloud subscription revenue: $86.4 million, up 22.5% year over year.
- Managed Services revenue: $32.1 million, up 9.6% year over year.
- Other revenue: $10.4 million, down 1.9% year over year.

Profitability

Gross margin was 72.6%, compared to 70.9% in the same quarter last year. Operating income was $21.3 million. Operating expenses grew more slowly than revenue because hiring was concentrated in the second half of the fiscal year.

Cash

Cash and cash equivalents were $231.8 million at the end of the quarter. Operating cash flow for the quarter was $26.7 million. The share repurchase program approved in March had not started by the end of the quarter.

Customers and People

Net revenue retention for Enterprise Cloud was 118%. Headcount at the end of the quarter was 1,940 employees.

Outlook

Management reaffirms its fiscal year 2025 guidance of revenue growth between 14% and 17%. Guidance for the second quarter is revenue between $132 million and $135 million.